

EDITION LUXEMBOURG · 2026 REPORT

What it really costs to buy in Portugal

Taxes, mortgages and worked examples for buyers who live abroad, with the official source for every number.

Imóveis Portugal

Facts checked on October 24 and 25, 2026

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AT A GLANCE

7.5%	transfer tax (IMT) for buyers who aren't Portuguese tax residents, since May 2026, with some exceptions.
0.8%	stamp duty on the price, for every buyer.
80%	of the value is the most a bank can lend for a home that isn't your main residence.

HOW TO READ THIS REPORT

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01 PURCHASE TAXES

Purchase taxes

The property transfer tax (IMT) is due on the day it's assessed or within the following 30 days. For residents, the 2026 rates depend on how the home is used. The value is split in two: up to the previous bracket limit at that bracket's average rate, and the rest at the marginal rate.

Main home (owner-occupied)

Value up to	Marginal rate	Average rate at the limit
106,346 €	0%	0%
145,470 €	2%	0.5379%
198,347 €	5%	1.7274%
330,539 €	7%	3.8361%
Up to 660,982 €	8%	–

Other home, such as a vacation home

Value up to	Marginal rate	Average rate at the limit
106,346 €	1%	1%
145,470 €	2%	1.2689%
198,347 €	5%	2.2636%
330,539 €	7%	4.1578%
Up to 633,931 €	8%	–

Above these values: 6% (flat) up to 1,150,853 € and 7.5% above.

02 NON-RESIDENTS AND STAMP DUTY

7.5%

Since May 2026 (Decree-Law 97/2026), buyers who aren't Portuguese tax residents pay IMT at a flat 7.5% on homes, with no exemption or reduction. The rate doesn't apply when the buyer:

a. has been considered a Portuguese tax resident;

b. becomes a Portuguese tax resident within two years of the purchase;

c. rents the home out as a residence within six months, at a rent within the decree's caps, for at least 36 months in the first five years.

In the last two cases you pay 7.5% first and claim back the difference within six months. How the first exception applies to people who once lived in Portugal is a question for a lawyer or tax advisor.

Stamp duty

0.8%	of the value, at purchase
0.6%	of the amount borrowed, with a loan of five years or more
4%	on the interest charged by the bank

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03 WORKED EXAMPLES

Worked examples

Purchase taxes, rounded to the euro, using the 2026 tables. Excludes the deed, registration, legal fees, currency exchange and mortgage costs.

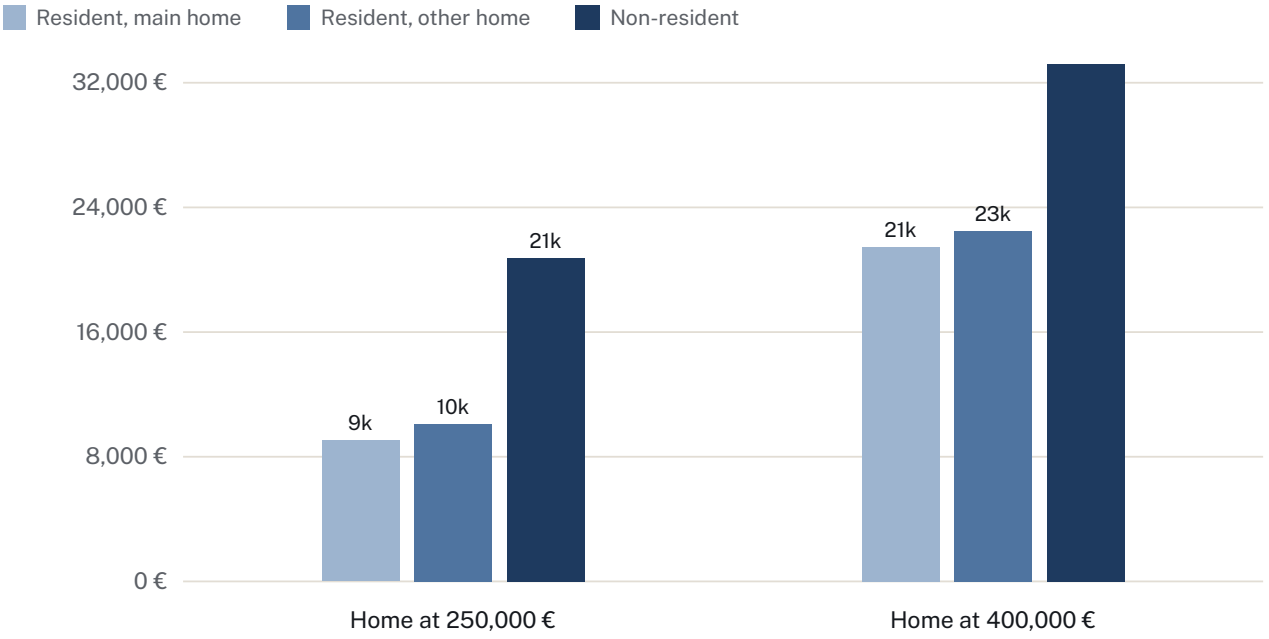
Home at 250,000 €

	Resident, main home	Resident, other home	Non-resident
IMT	7,042 €	8,105 €	18,750 €
Stamp duty (0.8%)	2,000 €	2,000 €	2,000 €
Total	**9,042 €**	**10,105 €**	**20,750 €**

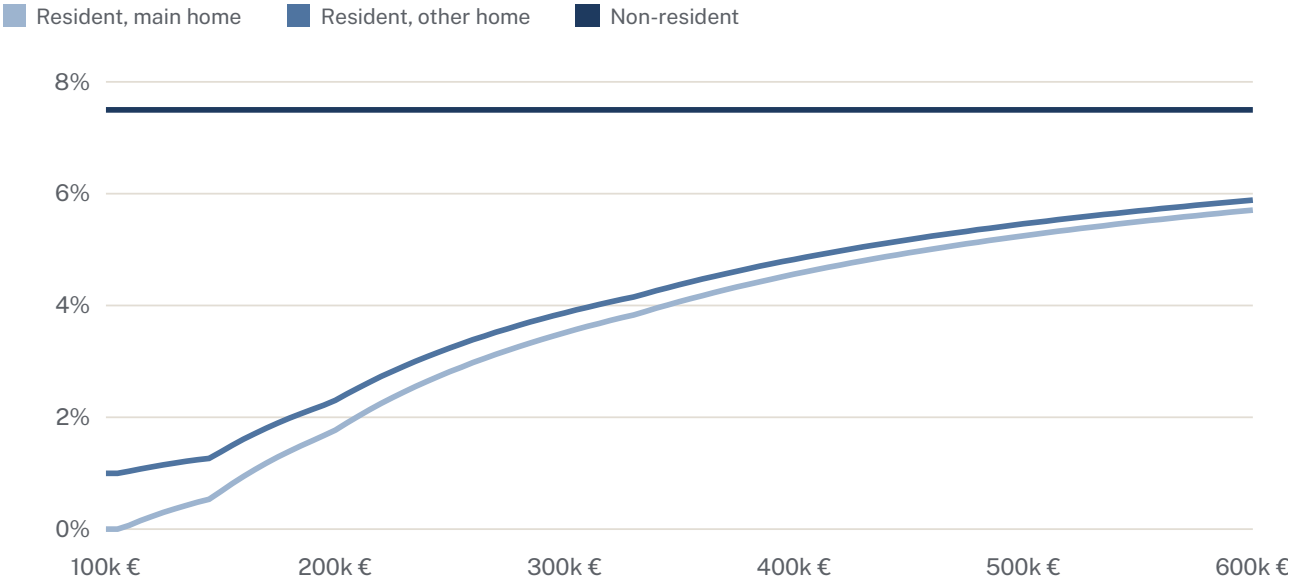
Home at 400,000 €

	Resident, main home	Resident, other home	Non-resident
IMT	18,237 €	19,300 €	30,000 €
Stamp duty (0.8%)	3,200 €	3,200 €	3,200 €
Total	**21,437 €**	**22,500 €**	**33,200 €**

Purchase taxes by buyer profile



Effective transfer tax rate by price



IMT divided by the price, using the 2026 tables.

04 MORTGAGES

Mortgages

90%	of the value at most for your main home; 80% for other uses. The lower of the price and the appraisal counts.
45%	of net income is the cap on the payments of all your loans together (each bank may exceed it for up to 10% of the credit it grants per year).
40 years	maximum term if you're 35 or younger; 35 years from that age.

Banco de Portugal rules applying since August 1, 2026.

How much cash you need

Example: a non-resident buys a 300,000 € vacation home with the maximum 80% loan.

Down payment (20%)	60,000 €
IMT (7.5%)	22,500 €
Stamp duty on the purchase (0.8%)	2,400 €
Stamp duty on the loan (0.6% of 240,000 €)	1,440 €
Total paid from your own funds	**86,340 €**

Excludes the deed, registration, legal fees, appraisal, currency exchange and the 4% stamp duty on interest, which is paid over the life of the loan.

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Main home or other home

The IMT code speaks of a «habitação própria e permanente» (HPP): a home bought exclusively to be the buyer's own permanent residence. For income tax, the proof is the tax domicile. The difference counts in three places: the IMT table, the share of the value a bank may lend, and the cash you need.

IMT	an HPP gets the lowest table (0% up to 106,346 €); another home starts at 1%.
Mortgage	up to 90% of the value for an HPP and up to 80% for others (Banco de Portugal).
Proof	for income tax, the tax domicile proves the home is the permanent residence.

The same 300,000 € home, three profiles

	Resident, main home	Resident, other home	Non-resident
Down payment	30,000 €	60,000 €	60,000 €
IMT	10,542 €	11,605 €	22,500 €
Stamp duty on the purchase (0.8%)	2,400 €	2,400 €	2,400 €
Stamp duty on the loan (0.6%)	1,620 €	1,440 €	1,440 €
Own funds needed	**44,562 €**	**75,445 €**	**86,340 €**

Rounded to the euro, using the 2026 tables. Excludes the deed, registration, legal fees, appraisal and currency exchange.

What if you live abroad? If you aren't a tax resident, you are not in this table: you pay IMT at the flat 7.5%. If you become a Portuguese tax resident within two years of the purchase, you pay the 7.5% and claim the difference back within six months. Whether the home counts as an HPP in that case is a question for a lawyer or tax advisor.

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Mortgage: from offer to deed

What the bank has to give you

1. Personalized offer: the bank hands over the European Standardised Information Sheet (FINE), with the simulation based on your data.
2. Approval: you receive the FINE with the approved terms and the draft contract.
3. Time: the bank stays bound to its offer for at least 30 days, but you can only accept after the first seven, the reflection period.
4. Insurance: the bank may require suitable insurance linked to the loan, but must accept another provider's policy if the cover is equivalent.
5. Other products: the bank may require only a current account and that insurance. If it offers a lower spread in exchange for other products, the APRC (TAEG) shown must reflect the reduction and say it depends on taking them.

The appraisal counts

The bank lends its percentage of the lower of the price and the appraisal. Example: a 300,000 € home appraised at 280,000 €, with a 90% loan.

90% of the price (270,000 €)	270,000 €
90% of the appraisal (280,000 €)	252,000 €
Maximum loan	**252,000 €**
Extra paid from your pocket	18,000 €

On deed day

At a Casa Pronta office, the deed and the registration happen in one place. It costs 375 € with one registration act and 700 € with a mortgage, plus 50 € per extra property. Bring:

- the civil and tax identification of the sellers and buyers;
- the building's technical file (ficha técnica), if one exists;
- the deed's reference to the usage licence, or to its waiver (depending on the construction date);
- the energy certificate.

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EDITION LUXEMBOURG

If you live in Luxembourg

- Tax representative: as you live in an EU member state, appointing a tax representative in Portugal is optional.
- IMT: if you are not a Portuguese tax resident, you pay the flat 7.5%, unless one of the exceptions in section 2 applies. If you were once a Portuguese tax resident, read exception (a) and check your case with a professional.
- Rent in Portugal: residential rent earned by non-residents is taxed at 25% in Portugal, with reductions for long leases.
- Rent in Luxembourg: the Portugal–Luxembourg tax treaty gives Portugal the right to tax income from property located in Portugal. Luxembourg exempts that income but may take it into account to set the rate on the rest of your income.

Not covered here: the filing rules of the country where you live depend on your situation. Talk to a tax adviser.

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07 THE STEPS AND THE YEARLY TAXES

The steps and the yearly taxes

1. NIF: the Portuguese tax number can be requested online through a legal representative, or in person. No tax representative is needed to get it.
2. Power of attorney: sign it at a Portuguese consulate or before a notary where you live; in that case it needs a Hague Apostille.
3. Promissory contract (CPCV): it sets the price, date and deposit. If the buyer backs out through their own fault, they lose the deposit; if the seller does, the buyer can claim double (Civil Code, art. 442).
4. Origin of funds: banks, notaries and lawyers must ask where the money comes from when the transaction calls for it (Law 83/2017).
5. IMT and stamp duty: paid before closing, within the assessment deadline.
6. After the purchase: if you live outside the EU, you have 15 days to appoint a tax representative or sign up for the tax authority's electronic notices.

Every year

IMI	0.3% to 0.45% of the property's tax value, at the rate set by the municipality.
AIMI	only on total tax values above 600,000 € per person.
Rent	residential rent earned by non-residents is taxed at 25% in Portugal, with reductions for long leases.
Sale	for Portuguese income tax, 50% of the gain counts.

Checklist and glossary

- [ ] I have a NIF
- [ ] I know whether I'll become a tax resident within two years
- [ ] I have quotes for the deed, registration and fees
- [ ] I asked the bank for a simulation with the appraisal
- [ ] I received the FINE and let the seven reflection days pass
- [ ] I know whether the bank accepts another provider's insurance
- [ ] I have proof of where the money comes from
- [ ] I had the promissory contract reviewed
- [ ] I have a power of attorney with an Apostille, or a consulate appointment
- [ ] I have the energy certificate and the usage licence (or its waiver)
- [ ] I appointed a tax representative or signed up for electronic notices (15 days)

Glossary

IMT	Transfer tax paid when buying property.
IMI	Yearly municipal property tax.
AIMI	Additional IMI on high property values.
NIF	Portuguese tax number.
CPCV	Promissory purchase contract.
Sinal	Deposit paid on the promissory contract.
Escritura	The deed that transfers ownership (closing).
VPT	The property's tax value, the basis for IMI.
HPP	Habitação própria e permanente: a main home.
FINE	European Standardised Information Sheet: the bank's offer.
TAEG	Annual percentage rate of charge (APRC): the total cost of the loan, per year.

09 SOURCES

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